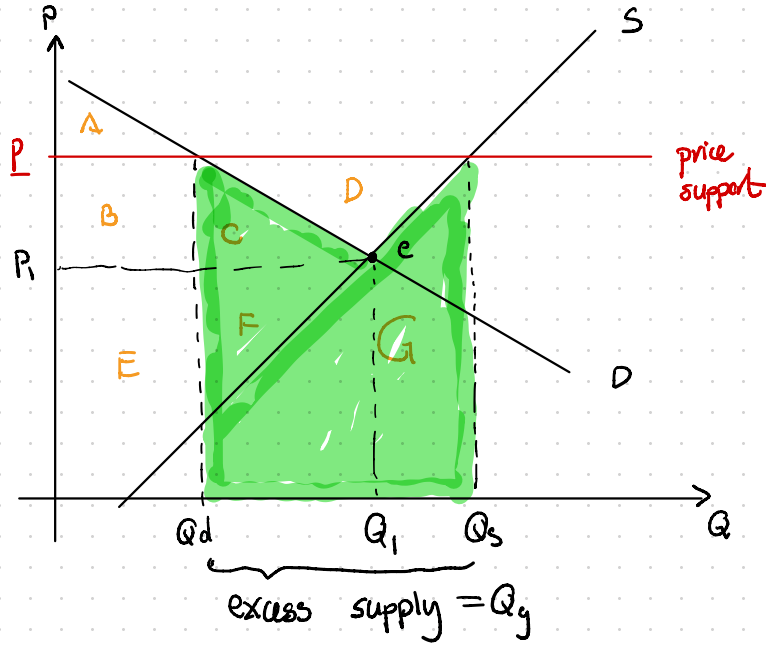


Topic 6c: Extras

- Agricultural price supports
- Import Tariffs

ECON 101

Agricultural Price Support



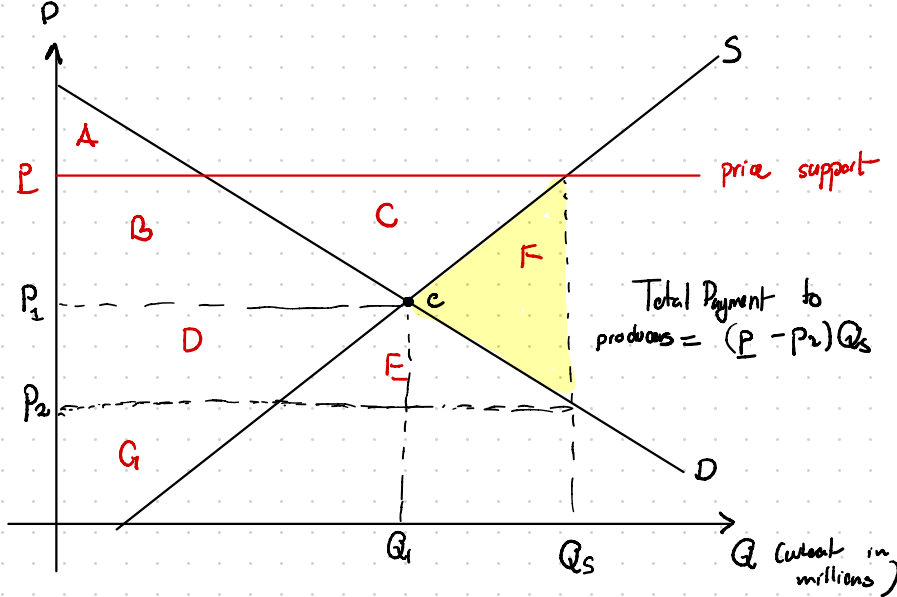
Q = quantity of wheat (millions)

Q_g = excess supply bought by the government & stored.

	No Price Support	Price Support	Δ
CS	$A + B + C$	A	$-B - C$
PS	$E + F$	$B + C + D + E + F$	$B + C + D$
G	0	$-C - D - F - G$	$-C - D - F - G$
SS	$A + B + C + E + F$	$A + B + E - G$	$-C - F - G$

Agricultural price supports: deficiency payments

- Government puts price support P
- Government allows a price that clears the market, P_1
- Government pays the difference $P - P_1$ per unit sold.



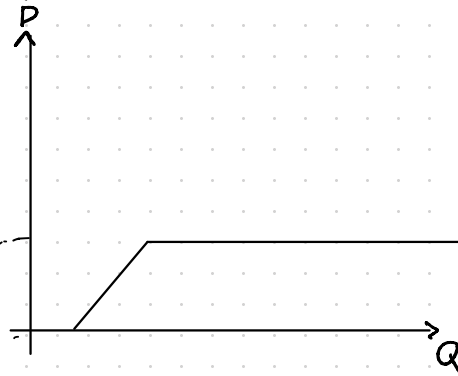
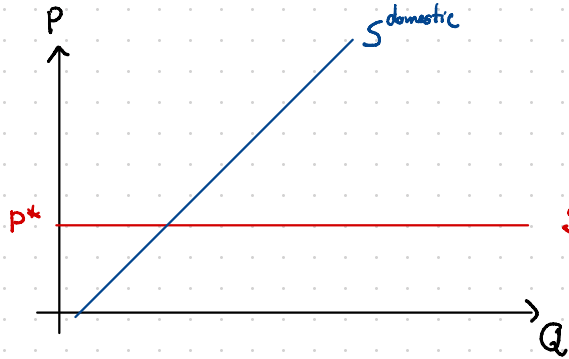
	No Price Support	Price Support (Def Payment)	Δ
CS	$A+B$	$A+B+D+E$	$D+E$
PS	$D+G$	$B+C+D+G$	$B+C$
G	0	$-B-C-D-E-F$	$-B-C-D-E-F$
SS	$A+B+D+G$	$A+B+D+G-F$	$-F$

Import Tariffs & Quotas

- A Tariff is a Tax that ONLY applies to imported goods, not goods produced domestically
- Assume that:

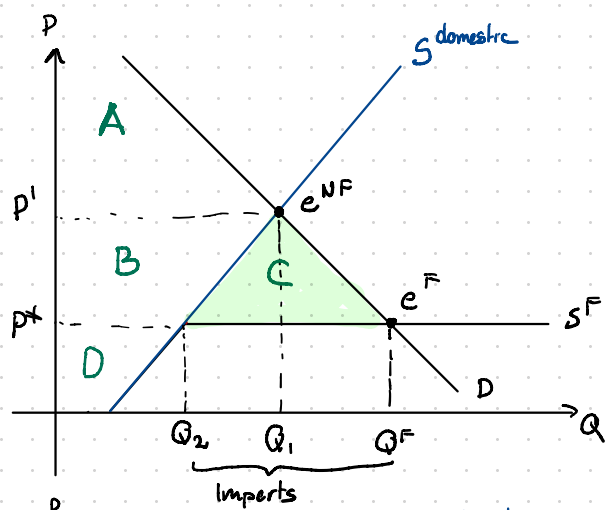
- Transportation Costs are Zero

- The world price of the good under consideration is p^* } World Supply Curve that is perfectly elastic.



free-market supply
 S^f = aggregate supply

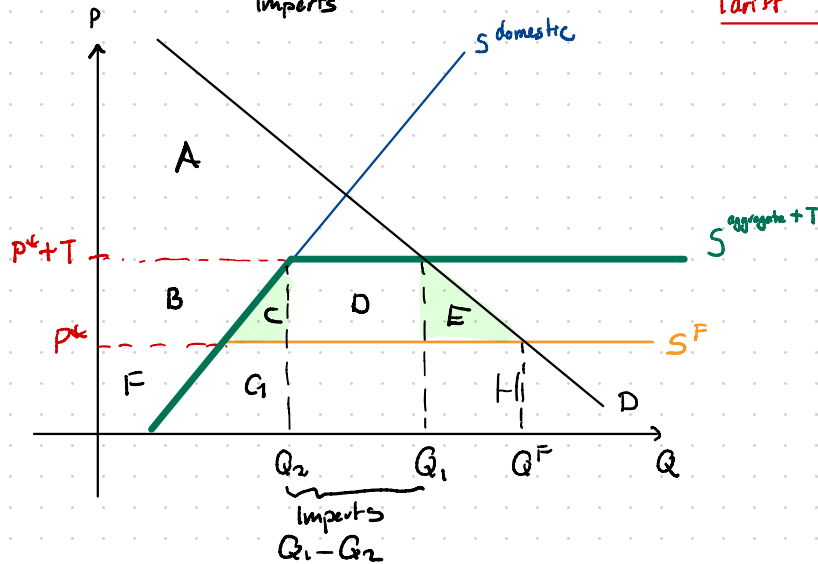
Consider the oil market



Total Ban on Imports: Note all surpluses are computed for the DOMESTIC Market

	Free Trade	Import Ban	Δ
CS	$A+B+C$	A	$-B-C$
PS	D	$B+D$	B
SS	$A+B+C+D$	$A+B+D$	$-C$

Tariff T on Imports (Surplus only considers domestic market)



	Free Trade	Tariff	Δ
CS	$A+B+C+D+E$	A	$-B-C-D-E$
PS	F	$B+F$	B
G	O	D	D
SS	$A+B+C+D+E+F$	$A+B+D+F$	$-C-E$